

Employee Attrition Analysis

Business Insights and Recommendations Report:

1. Introduction

The purpose of this report is to summarize the major findings obtained from the exploratory data analysis of the Employee Attrition dataset and provide recommendations to improve employee retention.

2. Key Business Insights

Insight 1: Moderate Employee Attrition

- The organization has an overall attrition rate of **16.12%**, indicating a moderate level of employee turnover.

Insight 2: Overtime Significantly Influences Attrition

- Employees who work overtime exhibit considerably higher attrition compared to employees who do not work overtime.
- Excessive workload may be a major factor contributing to employee exits.

Insight 3: Sales Department Experiences Higher Attrition

- The Sales department records relatively higher attrition than other departments.
- Job roles such as Sales Executive and Laboratory Technician show higher employee turnover.

Insight 4: Frequent Business Travel Increases Attrition

- Employees who travel frequently are more likely to leave the organization.
- Frequent travel may negatively affect employee well-being and job satisfaction.

Insight 5: Low Job Satisfaction Leads to Higher Attrition

- Employees with lower job satisfaction levels tend to leave more frequently.
- Employee engagement and recognition programs may help improve retention.

Insight 6: Poor Work-Life Balance Contributes to Attrition

- Employees reporting poor work-life balance demonstrate higher attrition rates.
- Maintaining a healthy work-life balance is essential for employee retention.

Insight 7: Lower Salary Levels Are Associated with Attrition

- Employees who left the company generally earned lower salaries compared to employees who stayed.

- Compensation plays an important role in employee retention.

Insight 8: New Employees Are More Likely to Leave

- Employees with shorter tenure exhibit higher attrition.
 - Early-stage retention strategies should be prioritized.
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3. Recommendations

Recommendation 1

- Monitor and reduce excessive overtime to minimize employee burnout.

Recommendation 2

- Introduce employee engagement and recognition programs to improve job satisfaction.

Recommendation 3

- Conduct department-specific retention initiatives, particularly within the Sales department.

Recommendation 4

- Promote flexible work arrangements and employee wellness programs to improve work-life balance.

Recommendation 5

- Review compensation policies for lower-income employees to ensure competitiveness.

Recommendation 6

- Implement structured onboarding and mentoring programs for newly hired employees.

Recommendation 7

- Reassess business travel requirements and reduce unnecessary travel where possible.
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4. Conclusion

The analysis identified overtime, business travel, job satisfaction, work-life balance, salary, and employee tenure as major factors influencing employee attrition. Addressing these factors can significantly improve employee satisfaction and reduce turnover within the organization.